released into circulation; in a reverse process, money supply contracts and banks' liquidity position tightens after the quarterly advance tax payments. Currency in circulation also goes up during festival times and election times, tightening in the process the banks' liquidity position.

These jump shifts in money supply and liquidity position of banks are largely predictable, and the Reserve Bank can build them into its models. But there are one-off events that can affect money supply too. For example, recall the auction of telecom licences by the government in 2010 which yielded bids much higher than expected. When the winning bidders deposited the bid amounts, the transactions involved shifting money from the commercial banking system into the government's account with the Reserve Bank, in the process sharply draining liquidity in the system and pressuring money market rates.

Pre-policy Consultations

There is a well-set process leading to each monetary policy review which works to clockwork precision. The drill for a mid-quarter review is slightly less intensive as it is not accompanied by an extensive consultation and dissemination exercise like in the case of a quarterly review. With eight policy reviews coming roughly at six-week intervals and the end of one round marking the countdown for the next, life felt like a relentless continuum of monetary policy. There was never any respite.

Early on in the policy calendar, the governor and his top management team hold a series of pre-policy consultation meetings with stakeholder groups, typically with banks, non-banking financial companies, including microfinance institutions, urban cooperative banks, and representatives of financial markets and chambers of business. As finance secretary, I had participated in the finance minister's pre-budget meetings in Delhi. The Reserve Bank's pre-policy meetings are different from the government's pre-budget meetings in the sense that they are smaller, about twenty invitees on average, and are less formal and more interactive. I found these meetings very useful not only to get stakeholder views on the monetary policy stance,